

ORDER INTAKE VALUE & SSP ALLOCATION

Policy & Control Standard

POLICY ID	POL-ORD-002	VERSION	1.0
STATUS	SUPERSEDED	EFFECTIVE	March 2023
SUPERSEDED	June 2025	CONTROL ID	CTRL-REV-015
PROCESS AREA	Order-to-Cash (O2C)	OWNER	Group Finance – Revenue Assurance

SUPERSEDED

Historical version retained for audit trail, prior-period testing and control traceability.

1. Purpose

This policy defines the methodology used to measure the value of Order Intake for multi-element arrangements, including allocation of contract value across deliverables using Standalone Selling Price (SSP).

2. Scope

Applies to all multi-element customer arrangements combining:

- Hardware/Software (HW/SW) deliverables, AND
- Services deliverables

3. Definitions

Standalone Selling Price (SSP): The price at which the Company would sell a deliverable separately under similar circumstances.

4. Roles and Responsibilities

Role	Responsibility
Deal Desk	Prepares SSP allocation calculations
Finance Manager	Reviews allocations exceeding variance threshold
Pricing Team	Maintains standard list price catalogue

5. SSP Allocation Methodology

5.1 Calculation Basis

Allocation is performed using the Standalone List Price method. Each deliverable is allocated a share of total contract value based on its list price relative to total list price of all deliverables. No weighting adjustment is applied.

5.2 Allocation Formula

SSP Allocation (Deliverable) = (List Price of Deliverable ÷ Total List Price of All Deliverables) × Total Contract Value

6. Sample Allocation Illustration

Deliverable	Contract Value	SSP	SSP Allocation
HW/SW	30	30	27.90
Services	1	10	3.10
Total	31	40	31.00

The allocation reflects a proportional split based on the list price ratio of 30:10, applied against total contract value of 31.

7. Approval Requirements

Allocations resulting in variance greater than 20% from standard list price ratios require Finance Manager sign-off prior to booking.

8. Related Policies

- POL-ORD-001: Order Intake Recognition & Measurement Policy
- POL-ORD-003: Order Intake Approval & Backlog Management Policy

9. Revision History

Version	Date	Summary of Change
1.0	Mar 2023	Initial policy issuance

CONTROLLED DOCUMENT

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